

**Time:** 5 minutes**Outcome:** Recognize when an equal-sized loss affects choice more strongly than a gain.**Difficulty:** ●●○ Intermediate

Loss Aversion

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THE CORE IDEA

Loss aversion means that people often experience a loss as more consequential than an equal-sized gain, measured relative to a reference point. This asymmetry can make giving something up feel more important than acquiring the same amount.

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HOW TO RECOGNIZE IT

- Identify the reference point that separates a perceived gain from a perceived loss.
- Compare reactions to changes of equal magnitude in opposite directions.
- Reluctance to give up something already owned can reflect the same asymmetry.
- The key evidence is stronger weight on the loss, not simply dislike of uncertainty.

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WATCH OUT

Loss aversion is not identical to risk aversion. Risk aversion concerns uncertainty; loss aversion concerns asymmetric reactions to losses and equivalent gains around a reference point.

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WORKED EXAMPLE: EQUAL DOLLARS, UNEQUAL WEIGHT

DIAGNOSE

- reference point
- equal magnitude
- gain
- loss
- asymmetric reaction

A student uses the expected account balance as a reference point. An unexpected \$50 refund produces mild pleasure, while an unexpected \$50 fee produces much greater distress. The dollar changes are equal in magnitude, but the \$50 loss receives greater psychological weight than the \$50 gain. That asymmetry around the reference point is evidence of loss aversion.

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CHECK YOURSELF

Someone is much more upset by losing \$20 than pleased by gaining \$20. Which comparison supports loss aversion?

**READY?****Return to the game and master this concept.**